(TRIMS)

TRIMS are essentially to promote investment and equality among countries in the sphere of foreign investments. It calls for countries to avoid unnecessary conditions attached with foreign investments like employment opportunities for local people, limit to imported contents of products produced, etc.

6. General Agreement on Trade in Services (GATS)

GATS call for liberalisation of trade in service sector. This is counterpart of GATT which covers merchandise trade. This agreement covers only commercial service excluding air transport service and excludes government services which are not in the commercial nature. The services are classified into four modes.

Mode 1 (Cross border supply): Cross border supply is the export of service across border from domestic country like BPO and banking services through e- media, etc.

Mode 2 (Consumption abroad): Consumption abroad refers to the services availed by citizens of one country in another country like foreign tour, medical treatment in foreign country, study abroad etc.

Mode 3 (Commercial presence): It denotes the commercial establishments that provide service in foreign country by establishing subsidiary or holding company in foreign country.

Mode 4 (Movement of Natural Persons): It signifies the services provided by professionals like Doctors, Accountants, and Lawyers, etc with their physical presence abroad.

This agreement calls for non-discriminatory non-prohibitory and transparent policies related to service trade. This also